holdings into foreign currency for investment abroad under the Liberalized Remittance Scheme (LRS). On 14 August, we reduced the maximum amount that individuals and corporates could take out under LRS. The market reaction was swift and brutal; the rupee fell from ₹61.43 to a dollar on 13 August to ₹68.36 on 28 August, while the bellwether stock index Sensex fell from 19,230 on 16 August to 17,996 on 28 August.

Why was the market so unforgiving? After all, deploying price or quantity controls to calibrate capital flows in order to manage pressures on the exchange rate had been standard practice for the Reserve Bank. For example, in 2007–08, the year before the crisis, when there were large inflows that put the rupee under severe appreciation pressure, governor Y.V. Reddy, in an effort to throw sand in the wheels of inflows, had tightened the ECB policy, making the conditions under which corporates could borrow abroad more exacting. During the financial crisis in the months after I took over, when the rupee came under depreciation pressure, I did the opposite—reversed the restrictions on ECB to increase inflows. Similarly, interest rates on NRI deposits were adjusted in the past both up and down to neutralize the impact of large capital flows in either direction.

If, as described above, the market is used to the Reserve Bank using controls to calibrate capital flows, what was different about the restrictions on LRS that they triggered such a sharp reaction? Evidently, the market saw the LRS restrictions not as a usual, temporary capital-flow management measure but as an unusual and regressive move. My calculation was that this decision would be interpreted as the Reserve Bank's resolve to contain expectations about the rupee's fall. Instead, the market saw this perceived willingness to deviate from the broad thrust towards increasing rupee convertibility as an extreme action triggered by panic which reinforced the negative perceptions on the currency.

Did I make a costly misjudgement of the market reaction? That's a question that I agonized over all through the next couple of weeks till I left the Reserve Bank and indeed several times even afterwards. My only comfort is that I was not alone. Virtually every central bank governor has experienced market reaction contrary to expectation at some time or other.